Korean Air (003490 KS)

Solid earnings fundamentals despite oil price volatility

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BUY (M)

Target price	W40,000 (Up)
Previous target price	W38,000
Current price (Sep 28)	W31,700
Upside potential	26%

Market cap (Wbn)	11,673
Shares outstanding	389,669,121
Avg daily T/O (2M, Wbn)	80
Avg daily volume (2M, shrs)	2,874,317
52-week high/low (won)	31,700 / 21,000
Foreign ownership (%)	26.36%
Dividend yield (%)	3.33%
Major shareholders	Hanjin KAL & others

Stock performance

(%)	1M	3M	12M
Absolute	10.5	13.0	39.6
Relative	8.8	38.0	(31.4)
Abs (US$)	11.1	26.8	44.5

3Q26 separate revenue estimated at W5.08tn and OP W491.0bn

We estimate 3Q26 separate revenue at W5.08tn (+26.6% YoY) and OP at W491.0bn (+30.5% YoY, OPM 9.7%), with OP in line with consensus. With growth in international passenger and air cargo revenue driving overall top-line expansion, softening jet fuel prices and a declining USD/KRW rate should ease cost burdens, likely leading to a QoQ profit growth.

International passenger revenue will likely come to W2.85tn (+24.1% YoY). International passenger yield in 3Q26 will likely increase 17% YoY to W141, and load factor (L/F) will likely improve by 2%p to 86%. Traffic growth was solid across short-haul routes centered on China and Japan, while sustained demand for long-haul routes and transits is likely lead to YoY improvements in both airfares and L/F.

Air cargo revenue will likely come to W1.48tn (+38.4% YoY). Cargo yield will likely decrease 6% QoQ to W664 on lower fuel surcharges, but will likely increase 35% YoY. Robust demand for high value-added cargo such as semiconductors is expected to keep cargo business profitability solid.

Strong earnings resilience; integration benefits to accelerate in 2027

We expect Korean Air to defend earnings well despite greater oil price volatility. Long-haul and premium passenger demand remains firm, while more long-term cargo contracts provide stable volumes. Cargo's relatively strong ability to pass through costs, together with lower foreign-currency expenses as the won strengthens, should support earnings.

Looking further ahead, we focus on profitability gains following the planned merger with Asiana Airlines in December. Applying Korean Air's fare structure to Asiana's existing routes could improve yield, while adjustments to overlapping routes and schedules should make the network more efficient. Combined procurement and contracts, along with more efficient maintenance, should add cost synergies. We expect the integrated airline's earnings capacity to improve in 2027.

We maintain BUY, and lift our target price to W40,000, reflecting revised-up earnings forecasts. The target price applies a 1.2x target P/B, the global full-service carrier peer average, to 12-month-forward BPS of W33,725.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	7,407	22.9	2.4	7,287	1.7
OP	235	49.1	TTB	313	-25.0
Pre-tax net profit	757	TTB	TTB	735	3.0
Net profit, CI	462	TTB	TTB	554	-16.6
OPM (%)	3.2	+0.6 %pt	TTB	4.3	-1.1 %pt
NPM (%)	6.2	TTB	TTB	7.6	-1.4 %pt

Note: CI = controlling interest, TTB = turn to black

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	17,871	25,226	28,714	28,754
OP	2,110	1,114	803	2,198
Net profit, CI	1,317	780	465	1,273
P/E (x)	6.3	10.8	25.2	9.2
P/B (x)	0.8	0.8	1.0	0.9
EV/EBITDA (x)	5.5	6.5	10.2	5.9
ROE (%)	13.2	7.3	4.1	10.5

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Korean Air: target price calculation

Value		Note
12-month-forward BPS (won)	33,735	
Target P/B (x)	1.2	Global FSC peer average
Fair price (won)	40,144	
Target price (won)	40,000	
Closing price (won; Sep 28)	31,700	
Upside	26%	

Source: Yuanta Securities

Korean Air: separate earnings forecast

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
USD/KRW	1,452	1,399	1,387	1,449	1,466	1,502	1,414	1,410	1,422	1,448	1,400
Sales (Wbn)	3,956	3,986	4,009	4,552	4,515	5,020	5,076	5,182	16,502	19,793	19,428
% YoY	3.5	-0.9	-5.5	13.0	14.1	25.9	26.6	13.9	2.4	19.9	-1.8
Int'l PAX (Wbn)	2,337	2,275	2,299	2,464	2,510	2,727	2,853	2,724	9,374	10,814	10,395
YoY (%)	4.4	-1.7	-7.8	8.9	7.4	19.9	24.1	10.6	0.7	15.4	-3.9
ASK (mn km)	22,174	21,584	22,615	23,135	22,110	22,686	23,489	23,648	89,508	91,933	93,847
RPK (mn km)	18,836	18,354	18,998	19,387	19,560	19,762	20,177	20,124	75,575	79,624	80,097
L/F (%)	84.9	85.0	84.0	83.8	88.5	87.1	85.9	85.1	84.4	86.6	85.3
Yield (won/km)	124	124	121	127	128	138	141	135	124	136	130
Cargo (Wbn)	1,054	1,055	1,067	1,233	1,091	1,542	1,476	1,590	4,409	5,699	5,627
% YoY	5.8	-3.8	-4.7	2.9	3.5	46.1	38.4	29.0	-0.1	29.2	-1.3
ACTK (mnT km)	2,896	2,944	3,034	3,121	2,961	3,076	3,128	3,183	11,995	12,348	12,595
CTK (mnT km)	2,043	2,128	2,162	2,197	2,079	2,193	2,223	2,257	8,530	8,752	8,943
L/F (%)	70.5	72.3	71.3	70.4	70.2	71.3	71.1	70.9	71.1	70.9	71.0
Yield (won/km)	516	496	493	561	525	703	664	705	517	651	629
OPEX (Wbn)	3,605	3,587	3,632	4,139	3,998	4,758	4,585	4,724	14,963	18,065	17,234
YoY (%)	6.5	-0.6	0.3	15.1	10.9	32.6	26.2	14.1	5.3	20.7	-4.6
OP (Wbn)	351	399	376	413	517	262	491	458	1,539	1,728	2,194
YoY (%)	-19.5	-3.5	-39.2	-5.1	47.3	-34.4	30.5	10.9	-19.1	12.3	27.0
OPM (%)	8.9	10.0	9.4	9.1	11.4	5.2	9.7	8.8	9.3	8.7	11.3

Source: Yuanta Securities

Korean Air: consolidated earnings forecast

	1Q2	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
USD/KRW	1,45	1,399	1,387	1,449	1,466	1,502	1,414	1,410	1,422	1,448	1,400
Revenue (Wbn)	6,49	6,211	6,027	6,496	6,658	7,230	7,407	7,419	25,226	28,714	28,754
% YoY	51.3	41.1	28.9	44.3	2.6	16.4	22.9	14.2	41.2	13.8	0.1
Korean Air separate (Wbn)	3,95	3,986	4,009	4,552	4,515	5,020	5,076	5,182	16,502	19,793	19,428
YoY (%)	3.5	-0.9	-5.5	13.0	14.1	25.9	26.6	13.9	2.4	19.9	-1.8
Asiana consolidated (Wbn)	2,07	1,887	1,681	1,624	1,680	1,844	1,890	1,798	7,267	7,213	7,553
% YoY	3.3	-6.4	-22.8	-23.3	-19.0	-2.3	12.4	10.7	-12.6	-0.7	4.7
Jin Air (Wbn)	418	306	304	353	423	360	371	363	1,381	1,518	1,527
% YoY	-2.9	-0.7	-16.5	-1.5	1.2	17.7	22.0	3.0	-5.5	9.9	0.6
Operating expense (Wbn)	6,06	5,841	5,869	6,341	6,141	7,437	7,172	7,161	24,112	27,911	26,556
% YoY	61.5	47.5	46.4	57.0	1.3	27.3	22.2	12.9	53.0	15.8	-4.9
Korean Air separate (Wbn)	3,60	3,587	3,632	4,139	3,998	4,758	4,585	4,724	14,963	18,065	17,234
YoY (%)	6.5	-0.6	0.3	15.1	10.9	32.6	26.2	14.1	5.3	20.7	-4.6
Asiana consolidated (Wbn)	2,01	1,894	1,879	1,820	1,733	2,200	2,119	1,986	7,612	8,038	7,584
% YoY	3.7	-5.2	-6.1	-13.3	-14.2	16.2	12.8	9.1	-5.4	5.6	-5.6
Jin Air (Wbn)	360	348	327	363	365	433	392	366	1,397	1,557	1,431
% YoY	8.4	13.4	0.7	8.3	1.6	24.4	20.0	1.0	7.6	11.4	-8.1
OP (Wbn)	431	370	158	155	517	-207	235	257	1,114	803	2,198
% YoY	-19.8	-16.4	-76.3	-66.6	20.0	TTR	49.1	66.1	-47.2	-27.9	173.9
OPM (%)	6.6	6.0	2.6	2.4	7.8	-2.9	3.2	3.5	4.4	2.8	7.6
Korean Air separate (Wbn)	351	399	376	413	517	262	491	458	1,539	1,728	2,194
YoY (%)	-19.5	-3.5	-39.2	-5.1	47.3	-34.4	30.5	10.9	-19.1	12.3	27.0
OPM (%)	8.9	10.0	9.4	9.1	11.4	5.2	9.7	8.8	9.3	8.7	11.3
Asiana consolidated (Wbn)	55	-7	-198	-196	-52	-356	-230	-187	-345	-826	-31
YoY (%)	-11.1	TTR	TTR	TTR	TTR	RR	RR	RR	-225.2	139.2	-96.3
OPM (%)	2.7	-0.4	-11.8	-12.1	-3.1	-19.3	-12.1	-10.4	-4.7	-11.4	-0.4
Jin Air (Wbn)	58	-42	-23	-10	58	-73	-21	-3	-16	-39	96
YoY (%)	-40.8	TTR	TTR	TTR	-1.1	RR	RR	RR	-109.9	141.2	-345.5
OPM (%)	13.9	-13.8	-7.4	-2.7	13.6	-20.3	-5.6	-0.7	-1.2	-2.6	6.3

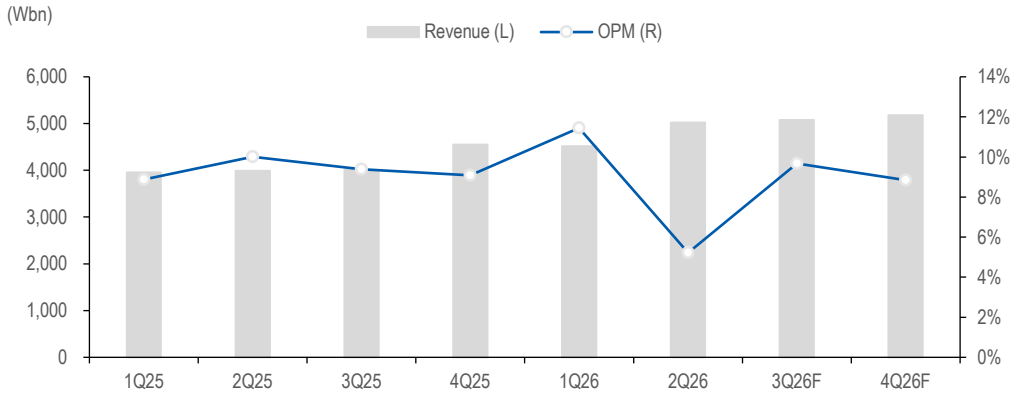
Note: TTR = turn to red, RR = remain red; source: Yuanta Securities

Korean Air: earnings forecast revision

	Old			New			Difference		
	3Q26E	2026E	2027E	3Q26E	2026E	2027E	3Q26E	2026E	2027E
Revenue (Wbn)	7,005	28,086	28,151	7,407	28,714	28,754	5.7%	2.2%	2.1%
OP (Wbn)	320	1,080	1,917	235	803	2,198	-26.6%	-25.7%	14.7%
OPM (%)	4.6	3.8	6.8	3.2	2.8	7.6	-1.4%p	-1.1%p	0.8%p

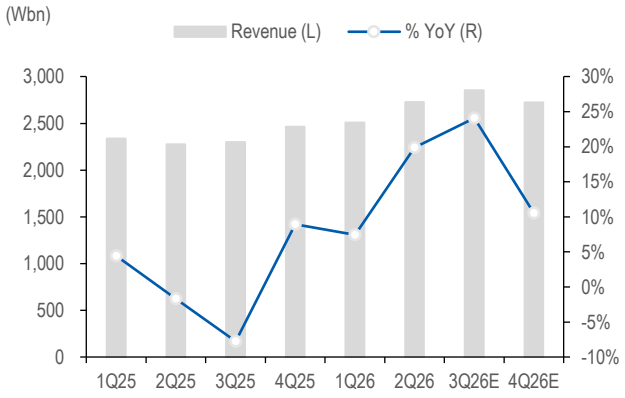
Source: Yuanta Securities

Korean Air (separate): revenue and OPM



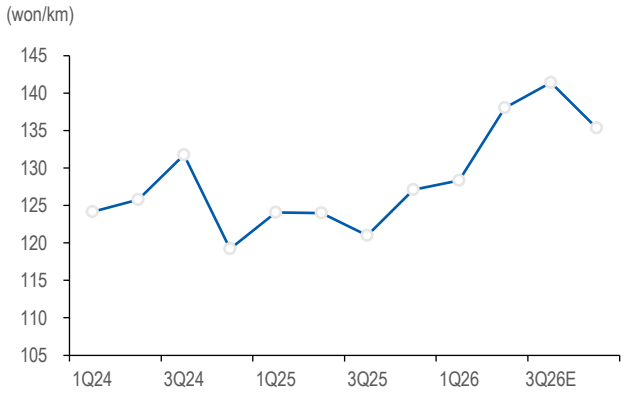
Source: company data, Yuanta Securities

Korean Air (separate): international passenger revenue



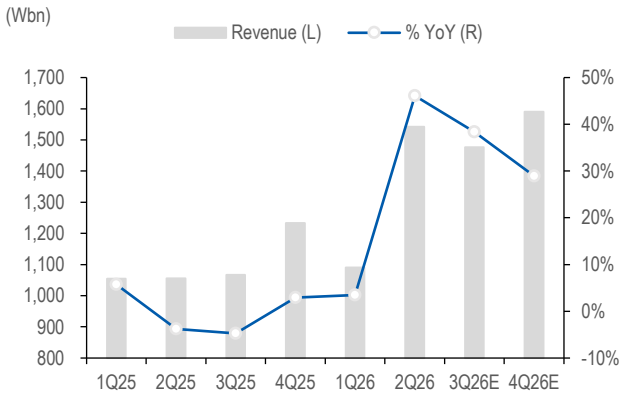
Source: company data, Yuanta Securities

Korean Air (separate): international passenger yield



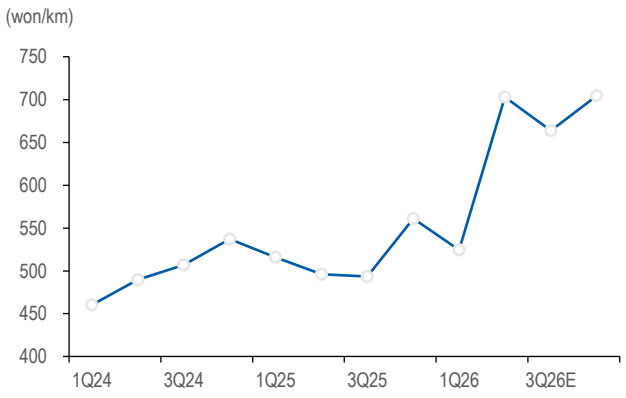
Source: company data, Yuanta Securities

Korean Air (separate): cargo revenue



Source: company data, Yuanta Securities

Korean Air (separate): cargo yield



Source: company data, Yuanta Securities

Korean Air (003490 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**17,871**	**25,226**	**28,714**	**28,754**	**29,940**
Cost of sales	14,113	21,550	25,196	23,961	24,787
Gross profit	3,758	3,675	3,517	4,793	5,153
SG&A	1,648	2,562	2,715	2,594	2,723
Operating profit	**2,110**	**1,114**	**803**	**2,198**	**2,430**
EBITDA	3,906	3,969	3,094	5,225	5,533
Non-operating profit	-274	-290	-292	-281	-265
Forex gains	-394	-35	127	91	60
Net interest income	-233	-558	-675	-690	-688
Equity-method gains	0	22	20	20	20
Other	352	280	236	298	343
Net prof before income tax	1,836	823	511	1,918	2,165
Income tax	454	176	97	365	412
Net profit from continuing ops	1,382	647	413	1,552	1,752
Net profit from discontinued ops	0	0	0	0	0
Net profit	1,382	647	413	1,552	1,752
NP for controlling interest	**1,317**	**780**	**465**	**1,273**	**1,577**
Total comprehensive income	1,279	631	753	1,789	1,989
Total comprehensive income, CI	1,224	783	596	1,117	1,242

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**11,617**	**9,709**	**9,712**	**10,375**	**11,986**
Cash & cash equivalents	2,216	1,870	2,328	2,921	4,232
Accounts receivables & other	1,590	1,576	1,800	1,843	1,912
Inventory	1,171	1,449	1,655	1,694	1,764
Non-current assets	35,395	40,697	43,766	44,245	45,050
Tangible assets	28,374	32,944	35,629	36,195	37,063
Investment in affiliates	155	173	198	202	211
Other investment assets	1,011	1,247	1,328	1,341	1,363
Total assets	**47,012**	**50,406**	**53,478**	**54,620**	**57,036**
Current liabilities	16,973	15,081	16,668	16,733	17,139
Accounts payable & other	3,465	3,435	3,923	4,017	4,183
ST financial liabilities	2,517	2,027	2,093	2,101	2,101
Liquid LT liabilities	4,723	3,628	4,954	4,780	4,780
Non-current liabilities	19,075	23,866	24,774	24,339	24,637
LT financial liabilities	1,819	3,277	3,061	2,930	2,930
Debentures	1,463	2,623	2,981	2,981	2,981
Total liabilities	**36,049**	**38,947**	**41,442**	**41,072**	**41,776**
Equity, controlling interest	10,473	10,954	11,535	12,767	14,304
Paid-in capital	1,847	1,847	1,847	1,847	1,847
Capital surplus	4,145	4,145	4,109	4,109	4,109
Retained earnings	3,486	3,949	4,169	5,165	6,465
Equity, non-controlling interest	490	505	502	781	956
Total equity	**10,963**	**11,459**	**12,036**	**13,548**	**15,261**
Net debt	**12,564**	**16,943**	**19,255**	**18,118**	**16,686**
Total debt	19,469	22,529	24,616	24,042	24,044

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**4,559**	**4,075**	**5,320**	**7,968**	**7,965**
Net profit	1,382	647	413	1,552	1,752
Depreciation & amortization	1,737	2,738	2,176	2,922	3,010
Forex gains	349	16	-124	-91	-60
Affiliate investment gains	0	-22	-20	-20	-20
Increase in net working cap	412	-646	1,405	1,647	1,601
Other	679	1,342	1,469	1,957	1,682
Investing cash flow	**-871**	**-2,340**	**-1,968**	**-3,234**	**-3,791**
Investment	-222	-366	-66	-17	-31
Increase in tangible assets	-2,894	-4,289	-4,096	-3,488	-3,878
Decrease in tangible assets	16	133	16	0	0
Other	2,229	2,182	2,180	271	118
Financing cash flow	**-2,163**	**-2,137**	**-1,110**	**-1,758**	**-1,171**
ST financial liabilities	1,513	-492	71	9	2
Debenture/LT financial liabilities	6,981	3,553	2,016	-583	0
Equity	0	-1	-36	0	0
Cash dividend	-278	-289	-285	-277	-277
Other cash flow	-10,379	-4,908	-2,876	-906	-896
Consolidation adj and other	67	56	-1,784	-2,384	-1,692
Increase in cash & equivalents	**1,593**	**-346**	**458**	**592**	**1,311**
Beginning cash & equivalents	623	2,216	1,870	2,328	2,921
Ending cash & equivalents	2,216	1,870	2,328	2,921	4,232
NOPLAT	2,110	1,114	**803**	**2,198**	**2,430**
FCF	**1,665**	**-214**	**1,223**	**4,480**	**4,087**

Valuation

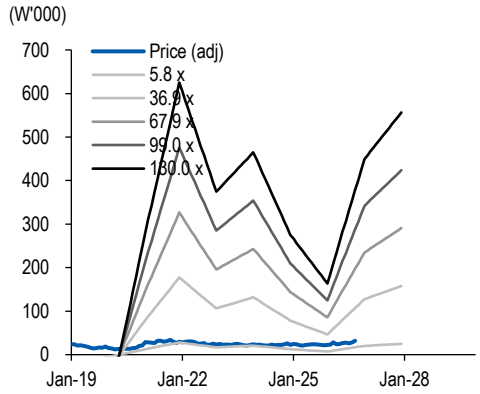
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	3,575	2,115	1,260	3,455	4,281
BPS (won)	28,356	29,659	31,231	34,569	38,730
EBITDA/shr (won)	10,576	10,746	8,378	14,146	14,981
SPS (won)	48,387	68,301	77,745	77,854	81,065
DPS (won)	750	750	750	750	750
P/E (x)	**6.3**	**10.8**	**25.2**	**9.2**	**7.4**
P/B (x)	**0.8**	**0.8**	**1.0**	**0.9**	**0.8**
EV/EBITDA (x)	**5.5**	**6.5**	**10.2**	**5.9**	**5.3**
P/S (x)	**0.5**	**0.3**	**0.4**	**0.4**	**0.4**

Key financial data

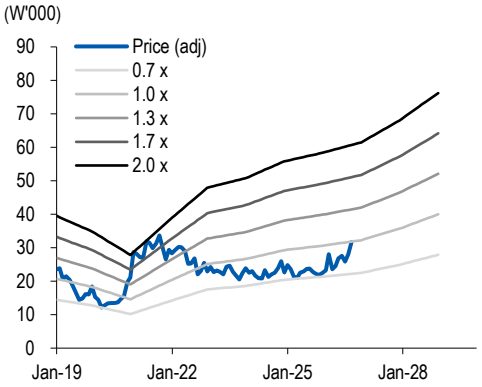
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**10.9**	**41.2**	**13.8**	**0.1**	**4.1**
Operating profit (%YoY)	**17.9**	**-47.2**	**-27.9**	**173.9**	**10.5**
Net profit, CI (%YoY)	**24.1**	**-40.8**	**-40.4**	**173.9**	**23.9**
Gross margin (%)	21.0	14.6	12.2	16.7	17.2
Operating margin (%)	**11.8**	**4.4**	**2.8**	**7.6**	**8.1**
Net margin, CI (%)	7.4	3.1	1.6	4.4	5.3
EBITDA margin (%)	21.9	15.7	10.8	18.2	18.5
ROIC (%)	7.5	3.1	1.5	5.3	5.8
ROA (%)	3.4	1.6	0.9	2.4	2.8
ROE (%)	**13.2**	**7.3**	**4.1**	**10.5**	**11.7**
Debt-to-equity (%)	328.8	339.9	344.3	303.1	273.7
Net debt-to-equity (%)	120.0	154.7	166.9	141.9	116.6
OP/financing cost (x)	4.1	1.4	0.9	2.4	2.7

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

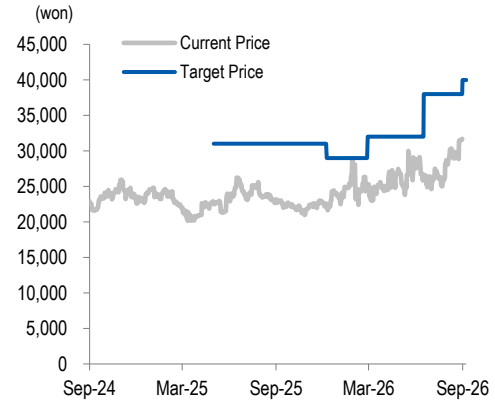
P/E band chart



P/B band chart



Korean Air (003490 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/29	BUY	40,000	1 yr		
2026/07/15	BUY	38,000	1 yr	-27.53	-16.58
2026/03/27	BUY	32,000	1 yr	-18.74	-6.25
2026/01/06	BUY	29,000	1 yr	-15.94	-0.17
2025/05/30	BUY	31,000	1 yr	-25.55	-15.32
2025/03/07	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Sep 29, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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